Morning Briefing

Date: Sunday 7 June 2026 | **Session:** Pre-open Monday 8 June 2026 | **Timezone:** London (BST, UTC+1) | **Generated:** 06:00 BST | **Data collected:** ~05:30–06:00 BST

2. Important News

US May payrolls +172,000 — more than double consensus, unemployment holds at 4.3%

BLS / CNBC / Bloomberg, 5 June 2026

Blew past the 80,000–85,000 Dow Jones consensus. Traders fully price a Fed rate hike by year-end (70% probability), 2Y Treasury spiked 11bps to 4.162%. Changes the Fed narrative from "on hold" to potential tightening.

Broadcom tumbles 13–15% after AI chip revenue guidance disappoints Wall Street

CNBC / Yahoo Finance, 4–5 June 2026

Guided Q3 AI chip revenue at $16B vs $17.2B street estimate; reiterated full-year guidance rather than raising. Triggered a cascade across semis — Nvidia -6%, AMD -9%, Micron -9%, ASML -3.2%, Infineon -4.9% in Europe. Nasdaq fell 4.18% Friday — worst day since April 2025.

Iran-US peace talks stalled; Strait of Hormuz remains closed for 95th consecutive day

Reuters / CNBC, 5–6 June 2026

Iran's Foreign Minister dismissed progress despite Trump stating talks are in "final stages." Brent holds near $93/bbl — down sharply from $120+ peak in March but still 55% above pre-crisis levels. Closure represents largest oil supply disruption in IEA history (27% of world seaborne crude).

ECB rate hike on Thursday June 11 — 99% probability of +25bps to 2.25%

ECB Watch / Polymarket / Reuters, 6 June 2026

Eurozone CPI hit 3.0% in April on energy surge. ECB has already hiked once in 2026. At least one additional hike priced for H2. Sets tone for EUR rates and the European primary bond market this week.

Alphabet announces $80B stock issuance program to fund AI buildout

Yahoo Finance / CNBC, 2 June 2026

Alphabet shares fell ~4% on dilution concern. Confirms AI capex arms race continues despite Broadcom guidance shock. Has spillover for European capital markets through dollar bond supply.

3. European Futures — Pre-Open Monday 8 June

Note: Specific Monday pre-open futures levels unavailable from weekend searches. Directional context below.

CONTRACT	LAST REF. LEVEL	DIRECTION BIAS	CONTEXT
Euro Stoxx 50 Fut.	~6,062 (Fri close)	Cautious / Lower	Chip selloff overhang, yields higher, ECB hike week
DAX Fut.	~24,759 (Fri close)	Cautious / Lower	Heavy tech/semi weighting (Infineon, SAP) weighing
CAC 40 Fut.	~8,218 (Fri close)	Cautious / Lower	LVMH, TotalEnergies diverge; semi drag
FTSE 100 Fut.	~10,368 (Fri close)	Mixed / Slight Support	Energy/mining weighting buffers vs. tech drag
S&P 500 Fut. (context)	7,383.74 (Fri close)	Cautious	-2.64% Friday; rate hike + tech selloff
Nasdaq 100 Fut. (context)	~25,710 (Fri close)	Cautious	-4.18% Friday — worst day since April 2025

4. European Closes — Friday 5 June 2026

INDEX	CLOSE	CHANGE	% CHANGE
Euro Stoxx 50	6,062.07	−41.26 pts	−0.68%
DAX 40	24,759.05	n/a pts	−0.75%
CAC 40	~8,218	n/a pts	−0.32%
FTSE 100	10,368.05	+7.73 pts	+0.07%

> European indices fell across the board Friday in sympathy with the US semiconductor rout triggered by Broadcom's earnings. The FTSE 100 outperformed meaningfully, held up by its energy and mining heavyweight exposure (BP, Shell, Glencore) which benefit from elevated oil. ASML, Infineon, and STMicro were the main drags on Continental indices.

5. US Markets — Friday 5 June 2026

INDEX	CLOSE	% CHANGE	NOTE
S&P 500	7,383.74	−2.64%	Technology and semiconductors led lower
Dow Jones	50,866.78	*n/a*	Defensives and energy provided partial buffer
Nasdaq Composite	25,709.43	−4.18%	Worst session since April 2025

SESSION TONE & SECTORS

> Friday's session was dominated by two simultaneous shocks: the chip stock cascade from Broadcom's disappointing AI guidance (released Thursday after-hours) and the May nonfarm payrolls print of +172,000 — more than double consensus — which spiked yields and repriced Fed expectations. Consumer Staples was the single bright spot (+2%), with Procter & Gamble +5% and Walmart +2% on defensive rotation. Technology was the clear laggard. The S&P 500 has now shed over 3% from the 7,609 record close hit on 1 June. Key takeaway: the dual pressure of tighter Fed expectations and AI capex doubt marks a regime shift from the euphoric first days of June.

6. Asian Markets — Friday 5 June Session (Most Recent Available)

Monday 8 June Asian session data not yet available at time of publication (Sunday 6:00 BST). Figures below are Friday 5 June Asian closes.

INDEX	LEVEL	% CHANGE	NOTE
Nikkei 225	66,588.12	−1.31%	Chip/tech selloff, yen volatility
Hang Seng	24,961.95	−1.15%	Tech drag, China macro uncertainty
Shanghai Composite	*n/a*	*n/a*	Data unavailable from searches
Kospi	*n/a*	*n/a*	Data unavailable from searches

> Asian markets tracked the US chip selloff lower on Friday. The Nikkei fell for the second consecutive session, dragged by semiconductor equipment names (Tokyo Electron, Advantest). The Hang Seng retraced early gains as sentiment deteriorated. The Monday Asian session — opening as this briefing is produced — will serve as the first real-time barometer of weekend risk appetite and any Iran/Hormuz developments over the weekend.

7. Commodities — As of Friday 5 June 2026

COMMODITY	LEVEL	CHANGE	COMMENT
Brent Crude	~$93.00/bbl	~−2.0%	Softened on reports of US-Iran progress; down ~23% from $120+ March peak
WTI Crude	~$91.00/bbl	~−2.0%	Tracking Brent; US strategic reserve releases adding pressure
Gold	$4,366/oz	Lowest since March 2026	Dropped below $4,370 after strong payrolls boosted USD and real yields; prior level ~$4,463
Natural Gas (Henry Hub)	$3.23/MMBtu	−3.21% (Fri)	Near-term forecasts show above-normal June temps, supporting power-gen demand
Copper (COMEX)	$6.28/lb	Retreating	Pulling back from record highs as tighter Fed expectations dampen demand outlook; Chinese import weakness also weighing

8. Rates & FX — As of Friday 5 June 2026

INSTRUMENT	LEVEL	CHANGE	NOTE
US 10Y Treasury	4.544%	+6bps (Fri)	Highest since 21 May; hot payrolls catalyst
US 2Y Treasury	4.162%	+11bps (Fri)	Highest since 25 Feb 2025; curve bear-flattening
German 10Y Bund	3.04%	Higher (Fri)	Tracking US Treasuries; ECB hike adds upward pressure
EUR/USD	~1.1650	Under pressure	Range-bound; USD strength post-NFP vs. EUR rate hike support
GBP/USD	~1.3430	Under pressure	UK growth concerns (0.8–0.9% 2026 GDP) cap GBP upside
DXY (USD Index)	~99.4	+0.3% (Fri)	On track for weekly gain; safe-haven + rate hike premium

9. DCM — Primary Bond Market

YESTERDAY'S ISSUANCES (WEEK OF 2–5 JUNE 2026)

ISSUER	SIZE	TENOR	SPREAD/COUPON	BOOKS / NIC
Week total (EUR + USD)	>$40B equiv.	Various	Avg NIC ~4bps	4–5x oversubscribed
Amazon (FY2026 EUR tranche)	€14.5B	Multi-tranche	AI capex financing	Strong demand
Specific June 5 deals	*n/a*	*n/a*	*n/a*	Per-deal data unavailable

Granular deal-by-deal data (IPT, final spread, books) not available from public searches. Verify via Bloomberg/Dealogic.

PIPELINE / EXPECTED THIS WEEK (8–12 JUNE 2026)

> ECB meeting Thursday 11 June is the dominant calendar anchor. Most corporate issuers typically front-load supply Monday-Wednesday before a central bank decision. Expect corporate IG and financial issuance in the EUR market Monday-Wednesday, with a quiet window around the ECB announcement. Post-ECB supply resumption likely Friday 12 June. Any escalation in Iran talks (positive or negative) over the weekend would change the tone at open Monday.

KEY SPREADS — AS OF FRIDAY 5 JUNE 2026

INDEX	LEVEL	MOVE (DAY)	DIRECTION
iTraxx Main (5Y)	*n/a*	*n/a*	Data unavailable — verify via Bloomberg/LSEG
iTraxx Crossover (5Y)	*n/a*	*n/a*	Data unavailable — verify via Bloomberg/LSEG
CDX IG (5Y)	*n/a*	*n/a*	Data unavailable — verify via Bloomberg/LSEG
Avg. Euro Corp IG spread	*n/a*	*n/a*	Data unavailable — verify via Bloomberg/LSEG

COMMENTARY

> The European primary market has operated with a constructive tone through the first week of June, with orderbooks running 4–5x oversubscribed and new-issue concessions averaging just 4bps — historically tight for this rate environment. The twin shocks of Friday (hot NFP + Broadcom) introduce potential hesitation at Monday open. Corporates looking to price this week face a narrow window: the ECB meeting on Thursday compresses the usable issuance days to Monday-Wednesday. Sectors favored by investor demand remain industrials, defense/aerospace (geopolitical spending premium), and investment-grade financials. High yield faces more headwinds given rising yields and risk-off Friday. Energy names carry execution risk given Hormuz volatility; dual-use for IG energy bonds which may still print with protective cov packages.

10. Economic Calendar — Week of 8–12 June 2026

London Time	Indicator	Consensus	Importance
Mon — All day	China Money Supply (M2) — May 2026	n/a	MEDIUM
Mon — TBC	China PPI — May 2026	n/a	MEDIUM
Mon — TBC	South Korea GDP — Q1 2026 Final	n/a	MEDIUM
Wed — TBC	UK GDP (April monthly estimate) — ONS	Positive	HIGH
Wed — After-Mkt	Oracle Q4 FY2026 Earnings (ORCL)	EPS $1.96e / Rev $19.08Be	HIGH
Thu 13:15 BST	ECB Rate Decision — June 2026	+25bps to 2.25% (99% priced)	HIGH
Thu 13:45 BST	ECB Press Conference — Lagarde	Hawkish guidance likely	HIGH
Thu — TBC	Bank of Canada Rate Decision	n/a	HIGH
Thu — After-Mkt	Adobe Q2 FY2026 Earnings (ADBE)	EPS $5.83e / Rev $6.43–6.48Be	HIGH
Thu — TBC	US GDP Revision — Q1 2026	n/a	HIGH

11. Corporate Events & Earnings — Week of 8 June 2026

DATE	COMPANY	EVENT	NOTE
Mon 8 Jun	BT Group (BT.A LN)	Trading update / earnings	UK telecoms; watch for capex/broadband outlook
Mon 8 Jun	Halma (HLMA LN)	Full year results	Industrial technology; safety/environment sensors
Wed 10 Jun	Oracle (ORCL US)	Q4 FY2026 Earnings	Key AI/cloud barometer for week; OCI growth in focus
Thu 11 Jun	Adobe (ADBE US)	Q2 FY2026 Earnings + $25B buyback	AI creative tools; guidance on AI monetization critical
Thu 11 Jun	Figeac Aero (FGA FP)	Annual results	French aerospace manufacturer; watch for Airbus order volumes
Week	LPP SA (LPP PW)	Quarterly results	Polish fashion retailer — Central/Eastern European consumer
Week	Dollarama (DOL CN)	Q1 FY2027 Earnings	Discount retail; consumer resilience indicator

12. Stocks to Watch — Monday 8 June 2026

Skew: Aviation, Shipping, Metals & Mining, Aerospace & Defense, Banks, Energy

ASML (ASML NA)	Semiconductor equipment — fell 3.2% Friday on Broadcom AI guidance; watch for further selling or oversold bounce. Key exposure to European AI spending cycle.	WATCH DOWN
Infineon (IFX GY)	European chip — fell 4.9% Friday, worst European semi. Closely tracks US chip names. Any relief rally in US semis overnight would drive a bounce; continued selling if AI guidance doubts spread.	WATCH DOWN / BOUNCE
STMicro (STM FP)	Auto-semi exposure — fell 3.2% Friday. Double pressure from chip selloff and Hormuz energy cost pass-through risk to European auto sector (STM's largest end market).	WATCH DOWN
Ryanair (RYA ID)	Aviation — reported record fiscal 2026 results: 200M+ passengers, revenue ~€15.5B, net profit ~€2.1B. Strong momentum but Brent at $93/bbl pressures fuel costs. Watch for analyst revisions.	WATCH UP / MIXED
Airbus (AIR FP)	Aerospace — key week with Figeac Aero earnings providing supply-chain read. Defense premium (European rearmament) ongoing. Geopolitical backdrop supports long-term order book.	WATCH UP
BP (BP/ LN)	Energy — Brent at $93, well above BP's $60 breakeven. Higher-for-longer oil thesis intact as Hormuz remains closed. Watch for any weekend Iran news. FTSE energy weighting provided buffer Friday.	WATCH UP
TotalEnergies (TTE FP)	Energy / LNG — direct beneficiary of Hormuz LNG supply disruption. LNG prices elevated. Potential M&A activity in European energy sector ongoing.	WATCH UP
Glencore (GLEN LN)	Metals & Mining — copper at $6.28/lb near record highs despite recent pullback. Fed rate hike fears are a headwind for copper demand, but supply remains structurally constrained. Chinese import data (PPI Monday) is a catalyst.	WATCH MIXED
Schneider Electric (SU FP)	Industrial / Energy Management — fell 1.9% Friday. Data center / AI capex is a structural driver (Schneider provides power management for hyperscalers). Broadcom AI doubt creates near-term capex uncertainty.	WATCH MIXED
BNP Paribas (BNP FP)	Bank — ECB hike Thursday boosts net interest income expectations. Banks benefit from higher rates but face credit risk concerns from energy-driven inflation pressures on borrowers. Watch Lagarde tone post-hike.	WATCH UP

13. Macro / Corporate / Political Highlights

MACRO

1. Fed rate hike now the base case. Payrolls +172k vs 80-85k consensus repriced the entire Fed path. Swaps fully price a hike by December, 60% probability by October. The Fed has been on hold since cutting 75bps in H2 2025; this data challenges that posture fundamentally.

2. ECB hiking Thursday. Eurozone CPI hit 3.0% in April on energy surge. June 11 hike to 2.25% (99% priced). ECB faces a stagflationary dynamic — inflation up, growth at risk (IMF cut UK 2026 GDP to 0.8%; Eurozone similarly under pressure). Lagarde's tone on forward guidance is the key variable.

3. Oil inflation feed-through persists. Brent at $93 is 55% above pre-Hormuz closure levels even after a 23% retreat from $120+ peak. Energy inflation is sustaining 3%+ eurozone CPI and constraining consumer spending across Europe and Asia.

CORPORATE

1. AI capex cycle at an inflection. Broadcom's guidance miss vs Alphabet's $80B program illustrates the two-speed market: hyperscalers committing mega-capex while chip suppliers face execution risk. Oracle earnings Wednesday are the next test of the AI infrastructure thesis.

2. European semis structurally challenged. ASML, Infineon, STMicro collectively shed 3–5% in a single session. With these names at significant index weights (DAX, Euro Stoxx), continued pressure would drag indices lower regardless of macro news.

3. European aerospace resilient. Ryanair record results and Figeac Aero week provide a positive counterweight. European rearmament themes support Airbus and defense names (HEICO record Q2 in the US: net income +49%).

POLITICAL / GEOPOLITICAL

1. Strait of Hormuz status remains the number-one market risk variable. Day 95 of the closure. IEA calls it the largest supply disruption in oil market history. A ceasefire-to-reopening scenario would send Brent below $75 — a positive demand shock for European industry and consumers. An escalation would push toward $110+.

2. US-Iran talks characterised by mixed signals. Trump says "final stages," Iran FM dismisses progress. Weekend developments not yet captured in market prices. First price action Monday morning in oil and FX is the key read.

3. European fiscal / defense spending accelerating. Ongoing rearmament commitments (2–3% of GDP targets across NATO members) continue to provide a structural tailwind for aerospace and defense equities and for European sovereign bond supply.

14. Key Themes — Top 5 by Horizon

TODAY'S TOP 5 — MONDAY 8 JUNE 2026

1. Semis: Bounce or Extend?	After ASML -3.2%, Infineon -4.9%, STMicro -3.2% on Friday, Monday open tells whether the selloff is over or deepens into a broader tech de-rating ahead of Oracle/Adobe earnings.
2. Oil: Iran Weekend Developments	Brent and WTI open will price in any Hormuz news from weekend. A credible reopening timeline would be a significant risk-on catalyst; any incident would push oil higher and equities lower.
3. Rate Hike Repricing Continues	US 10Y at 4.54% and 2Y at 4.16% after Friday's payrolls shock. European rates will track US open. Bund yield at 3.04% — ECB hike expectations adding to the move. Watch for further yield pressure.
4. China Data — PPI & M2	PPI and money supply data due Monday provide read on Chinese industrial demand — direct impact on copper, iron ore, and European exporter stocks (LVMH, Volkswagen, BASF).
5. FTSE Outperformance Thesis	FTSE +0.07% Friday vs Euro Stoxx -0.68%: energy/mining heavyweights act as natural hedge. Monitor whether this divergence holds as the week unfolds.

THIS WEEK'S TOP 5 — 8–12 JUNE 2026

1. ECB Rate Decision (Thu 11 Jun)	25bps hike to 2.25% is fully priced; Lagarde's forward guidance on the pace and terminal rate is the market-mover. A hawkish tone could push EUR/USD above 1.17 and compress credit spreads further in financials.
2. Oracle Earnings (Wed 10 Jun)	OCI cloud growth and AI infrastructure order books are the key metrics. A beat would partially rehabilitate the AI demand narrative damaged by Broadcom. A miss extends the tech de-rating.
3. Adobe Earnings (Thu 11 Jun)	Guidance on AI creative tools monetization and the $25B buyback authorization. First mega-cap software earnings since the AI mood darkened on Broadcom — sentiment-setting for the sector.
4. Bank of Canada Decision	Context for G10 rate trajectory beyond the Fed and ECB. CAD and cross-currency spreads will react. Signals whether energy-driven inflation is forcing developed-market central banks into a synchronized tightening cycle.
5. DCM Window: Pre-ECB Supply	Corporate issuers have Monday-Wednesday to price before the ECB. Volume of mandates and order-book quality will signal whether the primary market can absorb the higher yield backdrop.

THIS MONTH'S TOP 5 — JUNE 2026

1. Hormuz Reopening Timeline	The single biggest binary for global markets. Full reopening would collapse oil by 20%+, compress inflation, and trigger a broad risk-on rally. The market has no reliable timeline from any party.

2. Fed Hike Probability Build	From near-zero probability at start of June to 70% priced in four trading days. If data (CPI, retail sales) confirms May NFP, October hike becomes the consensus, repricing all risk assets.
3. AI Capex Cycle: Real or Peak?	Broadcom's guidance miss is the first crack in the AI spend narrative. Oracle, Adobe, and Q2 earnings from hyperscalers in mid-to-late June will determine if capex continues accelerating or if a pause is underway.
4. European Inflation Dynamics	With ECB hiking and oil still at $90+, Eurozone inflation likely stays above 3% through summer. June 2026 flash CPI (due late June) will set expectations for September ECB meeting and the pace of further hikes.
5. European Defense & Rearmament	NATO spending commitments, EU defense bond issuance plans, and ongoing Airbus/Leonardo order momentum make defense a structural theme for the month. Watch for any EU-level defense financing announcements.

15. Key Trends to Watch

1 DAY — MONDAY 8 JUNE 2026

Semiconductor recovery or extension. Friday's selloff (Infineon -5%, ASML -3%) sets a binary for Monday open: oversold bounce or continued de-rating. Watch pre-market European futures versus US futures.
Oil market reaction to weekend Iran news. Brent and WTI open are the first price discovery since Friday's close. Any credible signal on Hormuz status moves energy and risk broadly.
Yield curve direction. US 10Y at 4.54% — does it continue higher into the week, or consolidate? European Bund at 3.04% faces ECB hike as additional pressure. Corporate credit spreads will follow yields.

1 WEEK — 8–12 JUNE 2026

ECB guidance on terminal rate (Thursday). The hike itself is 99% priced; what matters is Lagarde's signal on July and September. A hint at a pause would be EUR-negative and equity-positive.
Oracle and Adobe as AI demand barometers. Two back-to-back AI software earnings mid-week provide a more complete picture of enterprise AI spending. Consensus is fragile after Broadcom.
European primary bond market activity. Volume and quality of pre-ECB corporate issuance will be the clearest signal of whether the primary window stays open or begins to narrow on rate uncertainty.

1 MONTH — JUNE 2026

Strait of Hormuz: The Black Swan with a Name. Every week of closure is another week of structural oil inflation embedded in global CPI. Markets are pricing a "muddle through" at ~$90 oil; a resolution or escalation either direction would be seismic.
Fed-ECB synchronized tightening risk. If both the Fed and ECB are hiking simultaneously (October/December for Fed, June + September for ECB), the liquidity backdrop for risk assets tightens materially. Watch June CPI (US: 10 July, Eurozone: late June) for confirmation.
AI capex cycle verdict. June earnings season (Oracle, Adobe, Salesforce, and mid-June hyperscaler commentary) will either reaffirm or challenge the multi-hundred-billion AI investment super-cycle. The Broadcom shock has shifted the burden of proof.

Sources: BLS (Employment Situation Summary, 5 Jun 2026) | CNBC (markets live updates Jun 1–5 2026) | Yahoo Finance (major US stock indexes 6/5/2026) | Bloomberg (Bonds Slide / Jobs Data 5 Jun 2026) | Reuters | NPR (jobs report 5 Jun 2026) | Trading Economics | bbntimes.com (FTSE 100 Jun 5) | sundayguardianlive.com (UK Stock Market Jun 5) | Fortune (Gold price Jun 5 2026) | Wikipedia (2026 Strait of Hormuz crisis) | ECB-Watch.eu | Polymarket (ECB Jun 2026) | MarketScreener (weekly earnings calendar) | Macrobond (week of Jun 8 2026) | ION Analytics / ICMA (DCM 2026 outlook) | KPMG UK GDP forecast May 2026 | ONS (UK Q1 GDP) | seekingalpha.com (Oracle/Adobe earnings preview) | TIKR (Adobe outlook) | Barchart | Investtech (Morning Report Jun 8 2026) | StartupHub.ai (Broadcom Jun 4 2026) | carnegie invest (monthly commentary Jun 2026)